

-
-
-
-
-

Chapter 2

Fixed Assets Overview



Introduction

The Fixed Assets of a business can be defined as those items which are used in carrying out its activities, but are not directly consumed in the process. They include buildings, machinery and vehicles, whether or not owned by the business. Fixed Assets addresses five key business objectives:

- To maintain an up-to-date register of all fixed assets used by the company, whether or not owned and whether or not capitalised.
- To calculate and apply depreciation and other period charges for each accounting period, and to apply them to the company accounts.
- To be an integral part of the total financial control system, thus ensuring consistency of financial information.
- To present asset information in a way which helps managers to exercise effective control.
- To enable the accountant to conform to relevant national and international accounting standards.

Links to Other Applications

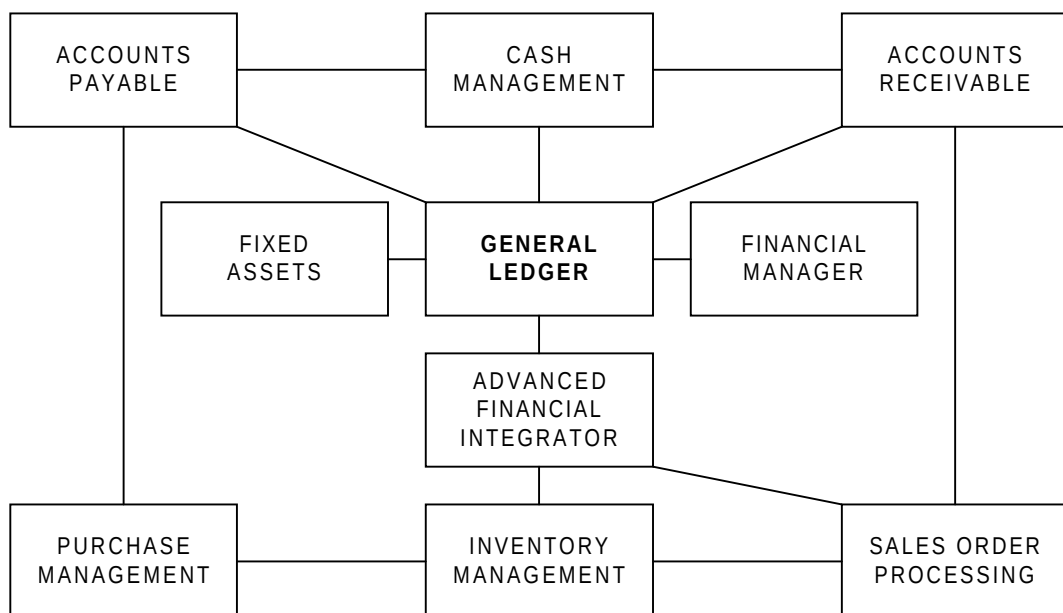
Before you do anything to implement the Fixed Assets system, there are a number of important decisions to be made about which facilities of the application you will use. These affect:

- The General Ledger link
- Asset analysis
- Valuation and depreciation methods
- Advanced facilities

A Fixed Assets company can be linked to a General Ledger company. Several Fixed Assets companies can be linked to a single General Ledger. For example, you may wish to hold assets on financial leases in a separate company.

Each financial transaction submitted to or generated by the application can be posted to its associated General Ledger. These transactions include:

- the cost of the asset
- depreciation charges
- lease interest and capital payments
- year-end transactions



Base and Advanced Fixed Assets

Your Fixed Assets application will offer you different functions and facilities depending on whether you have the 'base' or 'advanced' setup.



Tip: This has nothing to do with the version you are operating; both setups are available for each version.

The main difference between the two is the range of facilities and options. The following are available only to users of advanced Fixed Assets:

Multiple depreciation books per asset.

The basic system allows the cost book to be set up together with just one depreciation book, while the advanced system enables you to set up more than one depreciation book.

Notepad

Space for the entry of free format text for an asset is provided. The text can be managed and scanned by means of change dates, which are updated whenever a line of text is created or amended.

External funding

If assets have been purchased with the help of external funding then decisions need to be made in advance about

- Whether the funding will reduce the value to be depreciated
- Should the funding be treated separately from the asset?
- Is the funding specific to an asset or does it cover a group of assets?
- How much is capital funding and how much revenue?
- Are General Ledger accounts required to hold postings relating to capital and revenue?

Leasing details

If you need to hold details of leased assets and to calculate and initiate postings to the General Ledger for assets on finance leases, then you must create appropriate General Ledger accounts and establish General Ledger links through the structured General Ledger accounts facility.

Book revaluation

If revaluation facilities are required, particularly if the user wishes to make use of nationally prepared indexes, the valuation index must be prepared and regularly maintained.

How to check your setup

If you wish to check which setup you have, go into the Fixed Assets company profile maintenance. If the first details screen has the 'Multi-Book' field at the bottom, you have the advanced setup.

Maintenance Data

Maintenance data refers to more or less static information used by Fixed Assets. This data must be created before any asset details are created. Thereafter, it will require only infrequent modification. Examples of such data follow:

Company Profile Maintenance

The company profile controls many of the features of an application. It contains, for example, links to other applications and the definition of the features to be used for this company.

Book Profile

Financial 'books' control the accounting treatment for each asset, including links to the General Ledger.

Period Calendar

The calendar is used for relating calendar dates to accounting periods, and for recording the number of days in each period.

Reference Codes

Reference codes are used throughout the Fixed Assets application. They are maintained and held in company '##' if applicable to all companies, or in the company being processed if used by that company only.

Hierarchy Codes

Analysis detail codes can be defined as part of one or more hierarchies. For example, a sales department can belong to a division and to the sales function. Hierarchy codes can not themselves be assigned to an asset.

Depreciation Profile

If assets are to be depreciated using a depreciation profile, profile records are created, expressed either as a period percentage or as a period value.

Valuation Index

If assets are to be revalued based on an external index (for example, current cost accounting), the system must hold the index.

General Ledger Accounts

General Ledger accounts for fixed asset transactions are derived from analysis detail codes. Separate accounts can be specified for each financial book.

The Asset Database

Fixed Assets is a complete asset financial management tool, based on a very full set of data for each asset.

- Data held at asset level
- Data held for each depreciation book. There may be several books for each asset
- Transactions

Asset Details

Asset data describes the asset in user terms and is the basis for financial control.

Base Data

Descriptive data required for any asset. The asset can have a parent asset, so that assets can be grouped into families.

This means that financial data can be held at parent level, each dependent item having a base record only. The asset enquiry can then display all assets belonging to a parent.

The asset can also have two lines of additional text information.

Analysis Codes

User-defined attributes of the asset, such as 'department' and 'type'. These also control the link to the General Ledger.

The asset can be assigned many analysis codes. These are wholly user-defined attributes for enquiry and reporting purposes. (For technical purposes, you may wish to note the first three analysis codes are held on the base record.)

Examples of analysis codes are:

Status - In progress; capitalised; revenue; leased; retired.

Organisational - Branch, division, department, cost centre.

Asset type - Buildings, vehicles, type of vehicle.

Analysis codes can be formed into hierarchies. This helps you in three ways:

It reduces the number of data elements on each asset.

It improves the accuracy of the asset database.

It improves the flexibility of reporting.

Notepad

This provides unlimited free-format text.

The asset notepad feature allows any number of dated text records to be created for each asset. Examples of notepad records could be:

Technical specifications

Annual building inspections

Maintenance schedules

Financial Details

The financial details contain the acquisition data for the asset, plus its expected life and residual value.

Acquisition cost (and replenishment cost, if required) can be posted to the General Ledger.

External Funding

If an asset (or group of assets) has benefited from external funding (such as a government grant), the total value of the funding can be entered. The total value can be analysed into:

Reduction of asset value (capitalisation).

The balance is not capitalised (normally a credit to a revenue account).

Lease Details

Where an asset is acquired on a financial lease, details of the lease agreement can be recorded - for example, the frequency of payment, interest, and capital payment values.

This enables you to calculate and account for the periodic payment, allocated between capital repayment and interest charges.

Disposal

The disposal details of the asset, with the sales value of disposal.

Depreciation Book Details

You may wish to account for an asset in several different ways. A separate book can be set up for each purpose.



Note: In the basic version, just one book is allowed for each asset.

Each book holds a financial view or interpretation of the asset. A book may include the asset's dependants.

Book Value

The way in which the asset is valued, and the calculated book value.

Revaluation

The current value of the asset, based on indexed or management revaluation.

Depreciation

The depreciation method, the criteria by which depreciation is calculated, and cumulative depreciation values.

Transactions

Transactions are generated when changes are made which affect asset values.

- Asset maintenance - a record of every transaction which updates the asset database
- Period depreciation - a record for each period that an asset is depreciated
- Lease postings - two records for each period per lease asset, one being the capital payment, and the other being the interest payment
- Year end - a record of the movements from year-to-date into cumulative values

Asset Maintenance

Two sets of maintenance procedures are provided, which can be used interchangeably:

- Elementary. Where the data to be held for each asset is limited, a single screen is provided on which all the asset data and depreciation data is recorded.
- Full. A selection screen is used to define the data to be created or modified for each asset. You can select one or several of the available procedures. The sequence can be changed, and you can skip to enquire on a different asset.

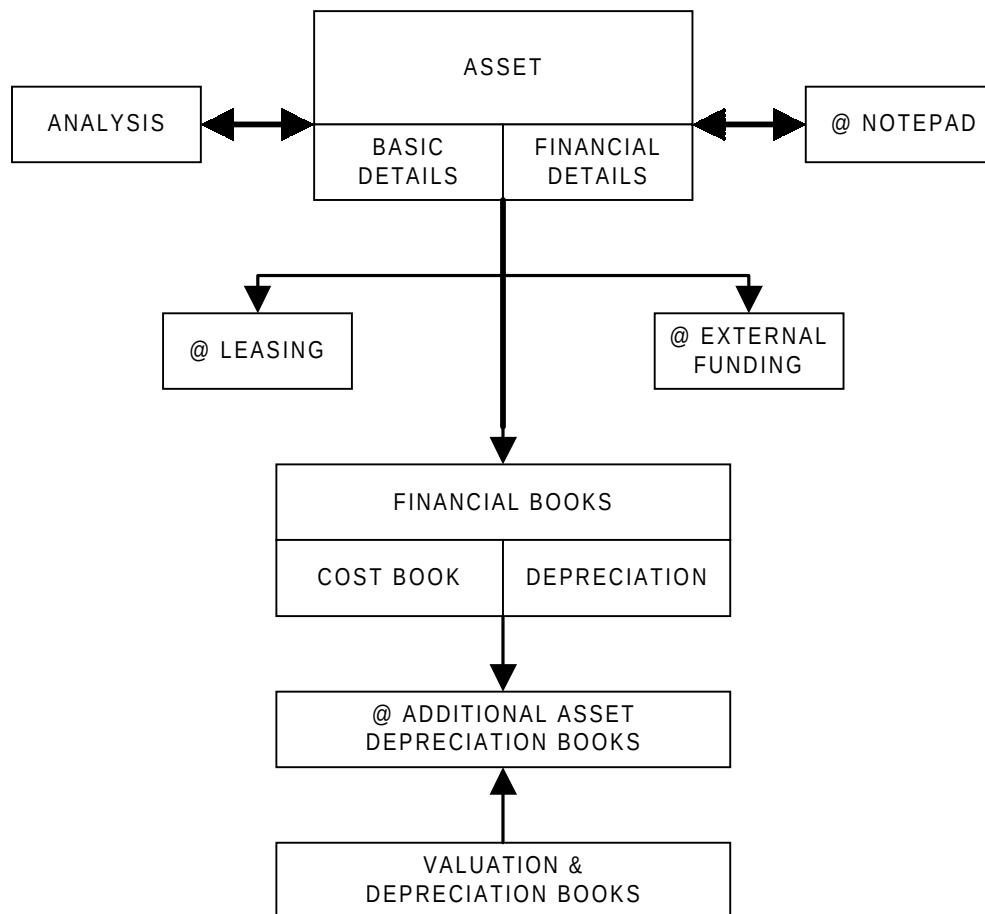
You can, for example, create the asset record using the elementary procedure, and later supplement this with a full procedure.

A separate procedure is provided for the disposal of an asset.

Elementary Asset Maintenance

This procedure enables you to enter basic details, financial details, and depreciation details on one screen.

Asset Maintenance (Full)



Asset Revaluation

Each book allows an asset to be revalued, based on:

- Management revaluation to a predetermined value
- Index-linking, using the index profile previously set up

Asset Journal

An asset journal is used to adjust the calculated depreciation or lease repayment values. You might want to do this:

- On the initial creation of an asset record
- Because of a change of policy, or for error correction
- To fully depreciate an obsolete or redundant asset

The adjustment value can be posted to the General Ledger.

Asset Disposal

Asset disposal is the final procedure in an asset's life cycle.

All dependants of an asset are disposed of in one transaction. (If it becomes necessary to dispose of part of an asset, the asset must first be split into multiple records.)

All the appropriate General Ledger transactions can be created automatically from the disposal record.

Asset Accounting

Fixed Assets recognises that companies may wish to account for assets in a number of different ways, using, for example,

- Local management accounting
- Published statutory accounts
- Taxation accounting and depreciation
- Corporate reporting

For each asset, separate books can be set up for each purpose. Each book can be linked into the General Ledger. This concept is easy to apply to a single company with local accounting needs, while catering for the most complex requirements.

In the basic version, just one book is allowed for each asset.

General Ledger Links

Each book can be linked independently to the General Ledger, either to fiscal or to memorandum accounts. Transactions can be created for the asset cost, to create a revaluation or replacement reserve, for period depreciation and for lease repayments. Asset disposal creates the transactions to adjust the balance sheet and to derive the profit or loss on disposal.

General Ledger accounts are generated from the asset analysis codes, and may include literal values. Assume, for example, that the period depreciation debit account is in the format:

1234 + Department + Type of asset

Asset analysis detail codes are: 287 CARS. The General Ledger account will be 1234287CARS.

The General Ledger link is optional for each book (and for each activity within each book), and there is total flexibility in the way in which fixed asset information is transferred to the General Ledger.

Book Value

Fixed Assets recognises that an asset can have several values, depending on the purpose of the valuation. Each book therefore has a valuation method. The book value can include the cost of all its dependants:

- Acquisition value
- Replacement value
- Index-linked valuation
- Value assessed by the management

In addition, any external capital funding can be deducted from the asset value.

For example:

- Asset cost 20,000

- Replacement cost 25,000
- Management valuation 22,000
- Capital funding (4,000)

Book values could be:

	Excl. Funding	Funding Adjustment
Cost	20,000	16,000
Replacement	25,000	21,000
Revaluation	22,000	18,000

Parent / Dependant Relationships

An asset can have a parent. Each asset book can include the value of the asset's dependants (in which case the dependant cannot have its own book). This gives flexibility in use, but care is needed in its application.

For example:

	Cost	Independent Book Value	Dependent Book Value
Parent (Processor)	5,500.00	5,500.00	7,500.00
Dependent (Sensor)	2,000.00	2,000.00	None

Asset Depreciation

Asset depreciation calculations amortise the value of the asset over its depreciation life. At any point, its written-down value (WDV) is the book value, less cumulative depreciation.

Depreciation transactions can be posted to the General Ledger as credits to the balance sheet and debits to profit & loss accounts.

Depreciation is calculated separately for each book. The rules can be different for each book.

The most commonly used depreciation methods are provided as a standard feature:

- Straight line
 - with equal periods
 - proportionate to accounting days in the period
- Reducing balance
 - with equal periods
 - proportionate to accounting days in the period
- Asset life
 - with equal periods. Additional methods are available in the advanced version of Fixed Assets. These include, for example, 'double declining balance', declining balance to straight line, and profile depreciation. In each of these, either cumulative to date, or prior year only depreciation can be taken into account.

Depreciation is controlled at two levels:

- Book profile, including valuation method and default depreciation methods
- Asset depreciation, including start period and detailed rules

Periodic Depreciation

Period depreciation is carried out as a batch procedure, taking into consideration the depreciation factors described above, for each book of each asset.

- First period depreciation
- First year depreciation
- Depreciation value can use cumulative or prior year depreciation
- Effect of depreciation frequency
- Part year conventions

The asset details hold cumulative depreciation up to the end of the previous year, and for the current year to date (each period's calculations are also held, and are available for enquiries and reports).

The written down value (WDV) is calculated for each book as the book value less the total depreciation to date.



Note: Changes to any of the factors affecting depreciation (method; rate; revaluation) take effect from the next calculation of depreciation; they are not retrospective.

Depreciation Journal

A depreciation journal can be used to adjust calculated depreciation values. The adjustment can be made to either (or both) the prior year or current year depreciation values.

Year End

At the end of each year, the values accumulated for the current year are transferred to prior year values.

Provisional Depreciation

A separate procedure is available to calculate 'what if' depreciation for selected assets, and over a selected number of periods. It is used particularly for budgeting purposes, but can be used to calculate the effect of alternative depreciation criteria. A report is produced, but no General Ledger postings are made.

Accounting for Leased Assets

Assets acquired on a financial lease are accounted for as purchased assets. In addition, the lease repayment (capital and interest) have to be accounted for.

Lease Details

Details of the lease agreement are recorded. The key features are:

- The value repaid, with the frequency of repayment
- The number of payments to be made
- The total value of interest to be paid

Repayment Calculations

Repayment calculations are carried out as a batch process. Interest and capital values are calculated by the sum of digits method, so that the interest charges reduce as capital is repaid.

Appropriate transactions are generated which can be posted to the General Ledger.

Lease Journal

A lease journal can be used to adjust the calculated interest and capital repayment values. The adjustment can be made to either the prior year or current year values, or both.

Year End

At the end of each year, the values accumulated for the current year are transferred to the prior year values.

Asset Enquiries

Fixed Assets provides a comprehensive set of enquiries on the asset database. They fall into three categories:

- Enquiries on the asset records
 - asset selection
 - asset enquiries
- Asset transactions enquiry
- Session enquiry

Asset Lists

Asset list enquiries enable you to select an asset from the list for a more detailed enquiry. you can:

- Search on any word in the description
- Select by ranges of analysis codes, with additional criteria such as book, external funding, revaluation and disposal records
- List dependants within an asset, with or without financial books data

Enquiry By Asset

The asset enquiries are generally in the same format as the maintenance screens. For each asset enquiry, an option is given to include values from dependants. You can also display a list of generated General Ledger accounts, and can list the books within an asset, with values.

Transaction Enquiries

Transaction enquiries enable you to select and display asset transactions in several ways. For example:

- By asset number, with date and transaction ranges
- By transaction identifier (sessions; dates; documents)
- By type of transaction
- By General Ledger account

Session Enquiry

Sessions are listed in descending sequence with details of who created the session. The session can be selected and details displayed of the assets maintained and the transactions created.

Asset Management Reports

Many standard report formats, both from the asset database and from the transaction files, are available.

For each format you can create report specifications defining each report:

- The assets to be selected, with multiple criteria (for example, all company cars from the northern region acquired since October 1990)
- The sequence in which they are to be printed (for example, in acquisition date sequence within division / branch)
- Totalling rules, with up to five levels (for example, totals at branch & division levels)

Report specifications can be held on a specification file, for re-use as required. They can be amended at run-time.

The Use of the Skeleton Company

If you are using a multi-company environment, you can develop the '##' (skeleton) company environment. When Fixed Assets is installed, '##' holds system-defined reference codes. These, together with any user-defined reference codes, are available for use by any other company in the system.

A company can either continue to use the skeleton company codes or incorporate them into its own code list. Depending upon the setting of the 'May Be Used for Based On' flag in its company profile, it can use its copies of such codes exclusively, or make them available for other companies to use.

Book profiles created in company '##' can also be used by other companies, as can financial calendars, analysis codes and other maintenance data.

Where large numbers of assets need to be established, it is possible to set up a skeleton asset in '##' to use as the base for creating the real assets.

General Ledger Link

You may well wish, either at the outset or as part of the longer - term implementation, to post transactions directly to the General Ledger accounts. This can be achieved in great detail or at a more basic level. A prerequisite of any link, however, is that the designated General Ledger accounts already exist.

General Ledger Accounts

General Ledger links can be established which will use some of the financial transactions provided. Typically assets will

- be installed at book value or be acquired
- have periodic depreciation posted
- be disposed of
- influence year end postings

For each of these actions financial transactions are created which can have both a debit and credit GL account attached. The full list of financial transactions or GL account types is given by the system defined reference code 'ACTY'.

Suspense Accounts

The simplest link is provided by the suspense accounts. No matter what choices you make in

- valuing
- revaluing
- depreciating
- disposing of assets

all financial transactions arising from any action can be directed towards the appropriate debit or credit suspense account. These accounts are optional.

Postings from the suspense accounts can be undertaken in the General Ledger by journal transfer.

Asset Analysis

Fixed Asset classification is normally required for at least a simple division into asset type. Typically this might be:

- Freehold land and buildings
- Plant and machinery
- Office equipment
- Fixtures and fittings
- Vehicles

You can also record that a particular asset belongs to a specific location, and identify the department or cost centre in which that asset is to be found. You can make the asset the responsibility of a particular manager.

Thus additional asset analysis codes can be established within the overall class of reference codes. The system-allocated reference code of 'ANTY' is thus used to initiate the user-defined analysis codes such as:

ATP - Asset type

LOC - Asset location

COS - Asset cost centre

MGR - Manager responsible

These codes can then be expanded into a further level of analysis detail codes in which the specific types, locations, cost centres and managers might be identified.

The number of analysis codes and subsequent detailed analysis codes required, will depend on the following factors:

- The degree of precision required to identify a particular group of assets
- The flexibility required in enquiries and reporting
- The organisational structure of the company
- The degree of definition required in posting to General Ledger accounts.

An example of the way in which such codes might be constructed is given below:

Reference Code	Analysis Codes	Analysis Detail Codes	
ANTY - Analysis codes	ATP - Asset Type	BLDG	Buildings
		LAND	Freehold land
		COMP	Computer equipment
		OFF	Office equipment
		FIX	Fixtures & fittings
		VEH1	Cars
		VEH2	Commercials
	LOC - Location code	BHAM	Birmingham
		BRIS	Bristol
		LOND	London
		MANC	Manchester
		LEED	Leeds

	COS - Cost Centre	010	Sales
		020	Buying dept
		030	Cost dept
		040	Finance dept
		050	Computer Dept
		060	Marketing
	MGR - Manager	MAD	M. Douglas
		NEM	N. Matthews
		PSS	P. Smith
		WAM	W. Meadows

Valuation and Depreciation Methods

The advanced system enables you to account for assets in a variety of different ways, for example:

- statutory accounts
- management accounts
- corporate reporting
- taxation accounting

Each of the approaches can be set up and defined as an asset book. Each book can have links with the General Ledger. It should be noted that while some transactions generated in this way will be financial transactions, other books can be linked to the General Ledger via memorandum accounts.

Thus an asset can have several values depending upon the purpose of the valuation. Each book therefore has a valuation method. This can be:

- Acquisition value
- Replacement value
- Revaluation value, either index-linked or by independent assessment

Any of these valuation methods can be further adjusted by external capital funding which would reduce the net valuation and thus affect the value to be depreciated. For example:

Asset cost	10000
Replacement Value	15000
Revaluation @	12000

External Funding (Grant) @ | 3000

The book values would appear as follows:

	Excluding Funding	Including Funding Adjustment
Cost	10000	7,000
Replacement	15000	12,000
Revaluation	12000	9,000

Different depreciation rules can be used for each book. Nine sets of rules are provided by the application. One set of rules should be chosen for each book established.



Note: The cost book is used solely to record the acquisition of an asset and to link asset cost values to the appropriate General Ledger accounts.

Before beginning the implementation process, you should therefore consider your asset valuation and depreciation requirements and in particular the consequent links with the General Ledger.